

THIRD SUPPLEMENT AND AMENDMENT TO THE INTERGOVERNMENTAL AGREEMENT FOR COST-SHARING OF THE PLANNING AND GONDOLA PROJECT DEVELOPMENT PHASE OF THE GONDOLA PROJECT

This Agreement is made and entered into by the following five entities effective as of January 1, 2026:

1. The Town of Mountain Village ("Town of Mountain Village") and Telluride Mountain Village Owners Association ("Telluride Mountain Village Owners Association") (collectively "Mountain Village Entity")
2. The Town of Telluride ("Town of Telluride")
3. San Miguel County ("the County")
4. TSG Ski & Golf, LLC ("TSG"), and
5. the San Miguel Authority for Regional Transportation ("SMART")

The above entities who have approved and executed this Agreement (the "Participants") for the purposes set forth below agree as follows:

RECITALS:

WHEREAS, pursuant to title 29, article 1, part 2, C.R.S., as amended, and Article XIV, section 18 of the Colorado Constitution, governments may contract with one another to provide any function, service, or facility lawfully authorized to each of the contracting units and any such contract may provide for the joint exercise of the function, service or facility, including the establishment of a separate legal entity to do so; and

WHEREAS, SMART is legally authorized to provide mass transportation services and to contract with other entities to provide such services pursuant to §43-4-605, C.R.S.; and

WHEREAS, each of the Participants has an interest in the construction, operation, maintenance, and funding for the Telluride-Mountain Village Gondola after the current operating agreement expires on December 31, 2027 (the "Gondola Project"); and

WHEREAS, the Participants have previously entered into the Intergovernmental Agreement for Cost-Sharing of the Planning and Gondola Project Development Phase for the Gondola Project dated November 14, 2023 (the "2023 IGA"); and

WHEREAS, the Participants have previously entered into a 2024, and 2025 Funding Supplement to the 2023 IGA dated May 1, 2024 (the "2024 First Supplement" and the "2025 Second Supplement");

WHEREAS, the Participants of the 2023 IGA, and 2024 First Supplement also included San Miguel County and Telluride Ski and Golf Company as funding participants, the 2025 Second Supplement and Amendment includes the Mountain Village Entity, the Town of Telluride, and SMART as the three "Funding Partners"; and

WHEREAS, the Town of Mountain Village, Town of Telluride, Telluride Mountain Village Owners Association, San Miguel County, Telluride Ski and Golf Company, and SMART intend to build and operate facilities in connection with the Gondola and, as such, are referred to herein as the Project Participants; and

WHEREAS, the Gondola Project as presently envisioned by the Participants will include multiple loading and unloading stations (each a "Station") including Station 1 at Oak Street in downtown Telluride, Station 2/3 at the top of San Sophia Ridge, and Station 4/5 in the Mountain Village Core, and Station 6 at the current terminus of the Gondola in the Mountain Village Center.

WHEREAS, the Participants desire to supplement and amend the Gondola Cost Sharing IGA for the purpose of establishing the cost-sharing budget for the year 2026, as set forth in the 2026 Budget attached hereto and made a part hereof as Exhibit 1.

NOW, THEREFORE, in consideration of the mutual agreements, obligations, and covenants set forth in this Agreement, and upon the further consideration stated in the foregoing Recitals, it is agreed by the Participants as follows:

Section 1. Incorporation of Recitals. The Participants confirm the statements set forth in the above Recitals and incorporate such recitals herein as an integral part of this Agreement. The provisions of the 2023 IGA, the 2024 First Supplement, and the 2025 Second Supplement are ratified and incorporated by reference herein.

Section 2. Scope of Gondola Project; Planning and Development Phase Responsibilities of the Participants. The Gondola Cost Sharing IGA is hereby supplemented and amended by the 2026 cost-sharing Budget attached hereto and made a part hereof as Exhibit 1 subject to annual appropriations.

IN WITNESS WHEREOF, the Participants by their governing bodies have approved this Third Supplement and have directed that this Third Supplement be signed on their behalf by their respective Mayor or Board Chair and Clerk, on the days and year written below.

Approved as to Form by:

San Miguel Authority for Regional Transportation

Signed by:
By: Harvey Mogenson
Name: Harvey Mogenson
Title: SMART Board Chair
Date: 5/19/2026

DocuSigned by:
By: David Averill
Name: David Averill
Title: SMART Executive Director
Date: 5/19/2026

Approved as to Form by:

Mountain Village Entity

Town of Mountain Village:

Signed by:
By: Scott Pearson
Name: Scott Pearson
Title: Mayor
Date: 5/19/2026

DocuSigned by:
By: Susan Johnston
Name: Susan Johnston
Title: Clerk
Date: 5/19/2026

Town of Mountain Village Owners Association:

Signed by:
By: Patrick Latcham
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Name: Patrick Latcham

Title: Interim Chief Executive Officer

Date: 5/19/2026

Approved as to Form by:

Town of Telluride

Signed by:
By: Teddy Errico
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Name: Teddy Errico

Title: Mayor

Date: 5/19/2026

Signed by:
By: Tiffany Kavanaugh
C4B5D21F740245B...

Name: Tiffany Kavanaugh

Title: Clerk

Date: 5/19/2026

Approved as to Form by:

San Miguel County

Signed by:
By: Lance Waring
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Name: Lance Waring

Title: Chair, Board of County
Commissioners

Date: 5/19/2026

DocuSigned by:
By: Carmen Warfield
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Name: Carmen Warfield

Title: Clerk to the Board of County Commissioners

Date: 5/19/2026

Approved as to Form by:

TSG Ski & Golf, LLC

Signed by:
By: Heath Sandler
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Name: Heath Sandler for Chuck Horning

Title: Executive

Date: 5/19/2026

Exhibit 1**Section 5. Scope of Gondola Project; Planning and Development Phase Responsibilities of the Participants.**

2026 Gondola Project Development Budget	
Project Management	\$176,860.41
Legal Counsel	\$45,000.00
Financial Advisor Services	\$24,000.00
Project Development Services (SME)	\$1,800,000.00
Translation Services	\$5,000.00
Subtotal	\$2,050,860.41
Contingency (20%)	\$410,172.08
TOTAL	\$2,461,032.49

2026 Cost Share Distribution	
SMART (50%)	\$1,230,516.25
Town of Telluride (25%)	\$615,258.12
Mountain Village Entity* (25%)	\$615,258.12
Total Budget	\$2,461,032.49

* The Mountain Village entity contributes 25%, split equally between the Town of Mountain Village at 12.5%, and the Telluride Mountain Village Owners Association at 12.5%.